



The Children's Investment Fund

Q3 2010 Report

Fund Performance

Period	Master Fund Assets (£m)	Class A (3yr) \$	Class A (3yr) €	Class C (5yr) \$	Class C (5yr) €	Class D (Q) \$	Class D (Q) €	MSCI World (\$)
Sep 2010	4,758	+8.19%	+8.04%	+8.19%	+8.04%	+8.19%	+8.04%	+9.11%
Aug 2010	4,753	-2.42%	-2.56%	-2.42%	-2.56%	-2.42%	-2.56%	-3.92%
Jul 2010	4,695	+7.58%	+7.58%	+7.58%	+7.58%	+7.58%	+7.58%	+8.02%
Q3 2010		+13.58%	+13.26%	+13.58%	+13.26%	+13.58%	+13.26%	+13.24%
Q2 2010		-13.61%	-14.27%	-13.61%	-14.27%	-13.61%	-14.27%	-13.26%
Q1 2010		+4.80%	+4.80%	+4.80%	+4.80%	+4.80%	+4.80%	+2.74%
2010 YTD		+2.84%	+1.75%	+2.84%	+1.75%	+2.84%	+1.75%	+0.92%
Annualised		+15.32%	+14.50%	n/a	n/a	n/a	n/a	+1.93%
Inception		+161.80%	+149.36%	n/a	n/a	n/a	n/a	+13.79%

Notes: January 1, 2004 inception (Class A). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures since inception (January 1, 2004).

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP

During Q3, the Fund performed in line with global equity markets, recovering most of Q2 losses. The strategy of maintaining a fully-invested exposure helped in achieving this rebound. The catalyst for the recovery was the statement by the Federal Reserve that renewed quantitative easing, also known as money printing (as the Fed's history is to conduct unsterilised asset purchases), was likely, if the economy stayed weak in the US.

Key Fund Data

Exposure Summary

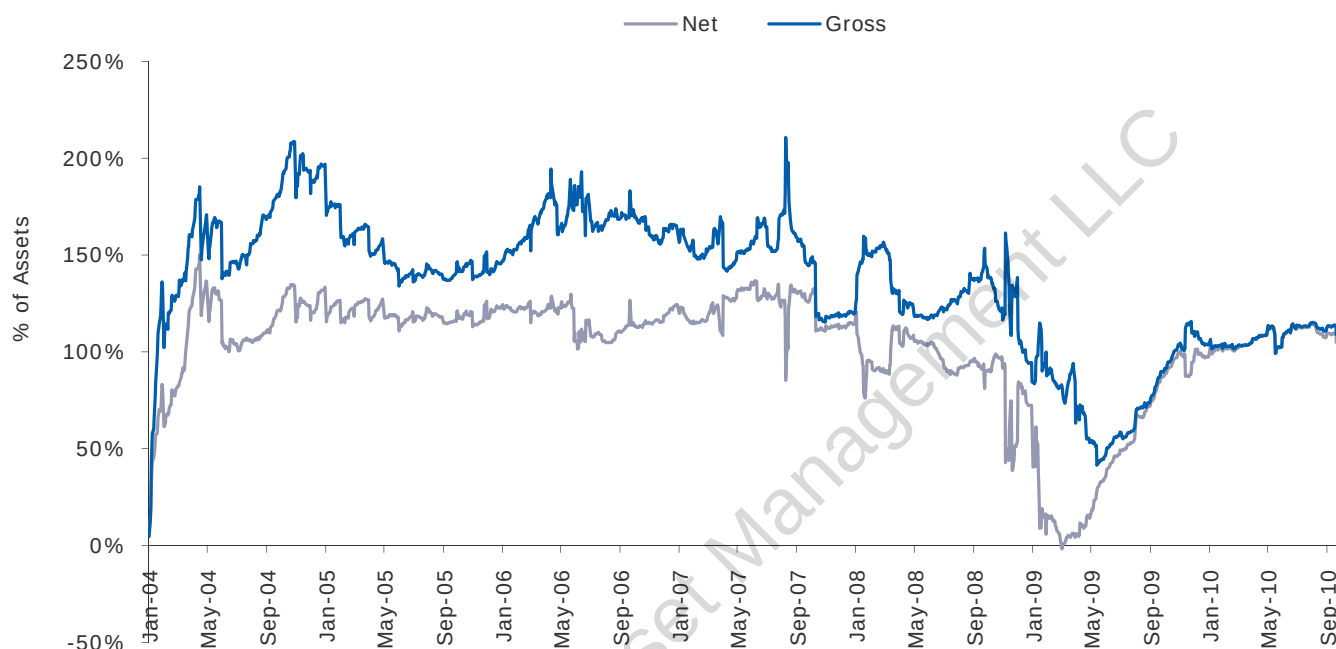
During the quarter, gross and net exposures slightly declined.

% of Master Fund Net Assets				
Period	Longs	Shorts	Gross	Net
September 2010	106.8%	-2.2%	109.0%	104.6%
August 2010	109.6%	-1.7%	111.7%	107.9%
July 2010	113.8%	-0.3%	114.1%	113.5%

Note: Exposure includes subscriptions and redemptions at month-end.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

The Children's Investment Master Fund Exposure Since Inception



Note: Gross and net exposure figures include equity and debt positions.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

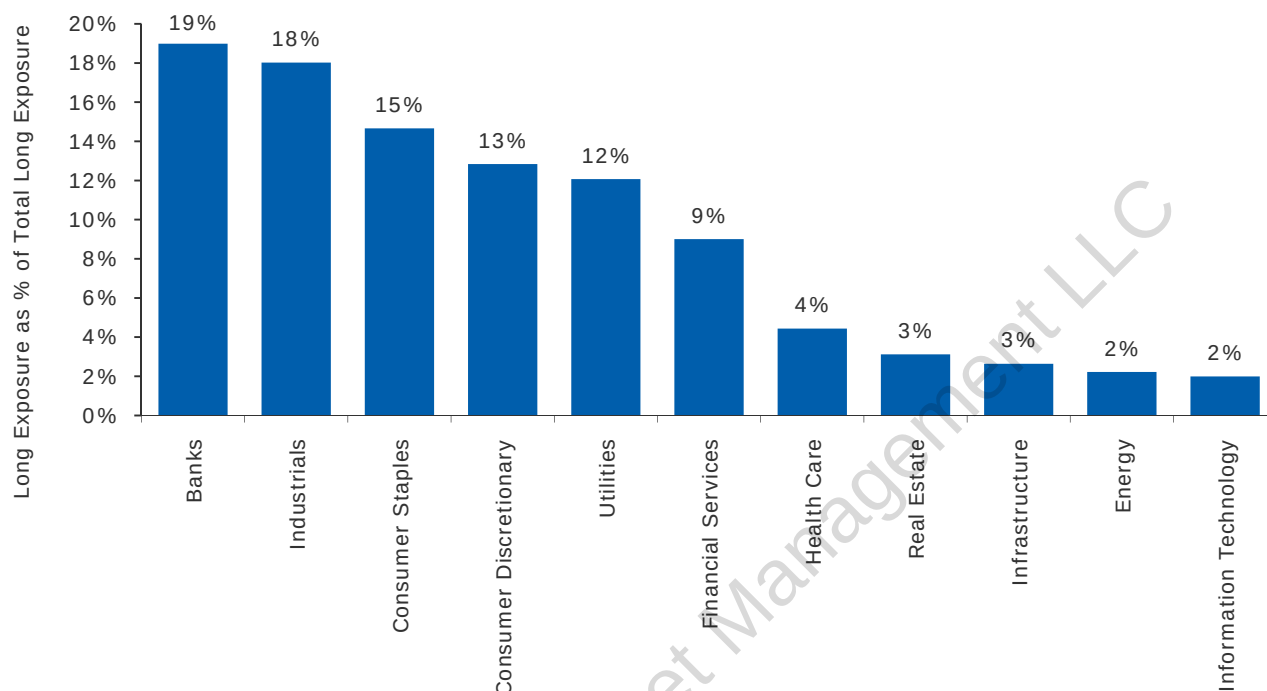
Top 10 Positions as at 30 September 2010	% of Master Fund Net Assets	Q3 2010 % Move, Local Terms
Corporate Debt	16.2%	11.6% *
Union Pacific	12.6%	17.7%
Visa	8.3%	5.0%
Viacom	7.2%	15.4%
Walt Disney	6.5%	5.1%
Lockheed Martin	6.3%	-4.3%
ING	5.5%	23.2%
Red Electrica	4.8%	17.2%
WellPoint	4.7%	15.8%
Molson Coors	4.5%	11.5%

* As measured by the Average Return on Capital Employed over the corporate debt positions.

Note: The security may have not been held for the entire period and may represent a different P&L change in comparison to the percentage move in local terms.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

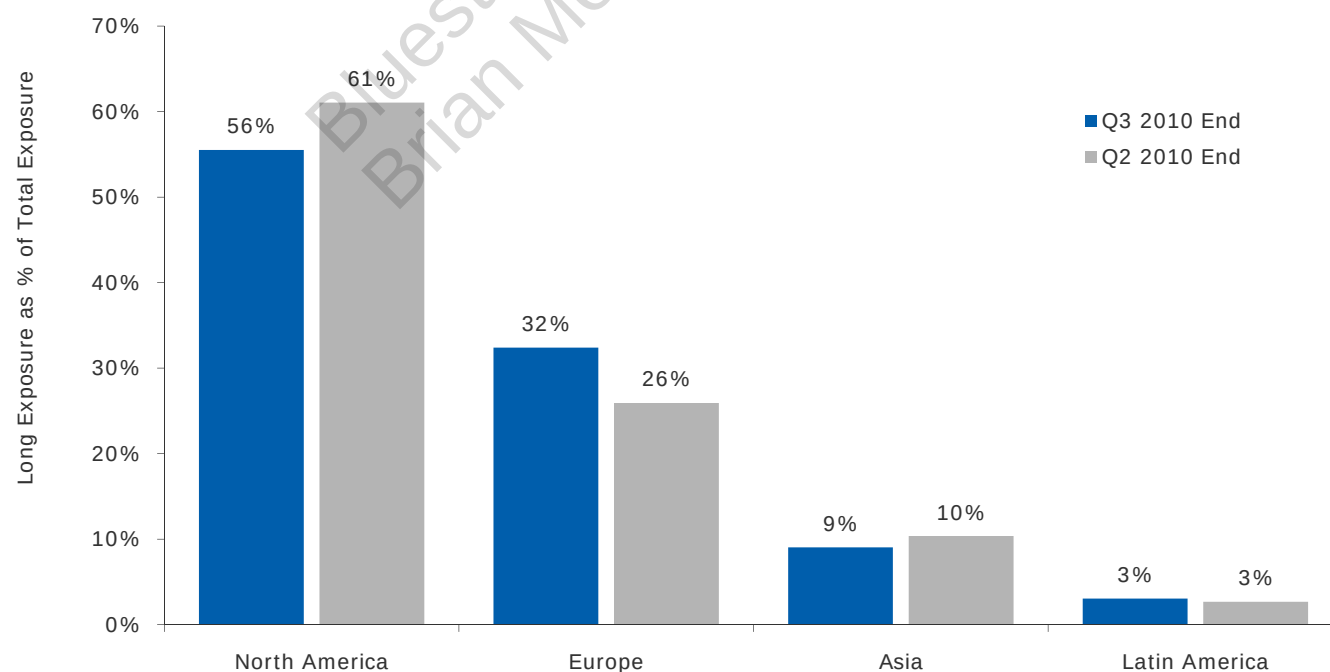
Q3 2010 Portfolio Sector Long Exposure



Note: Sector exposure breakdown refers to the long book, including equity and debt positions.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

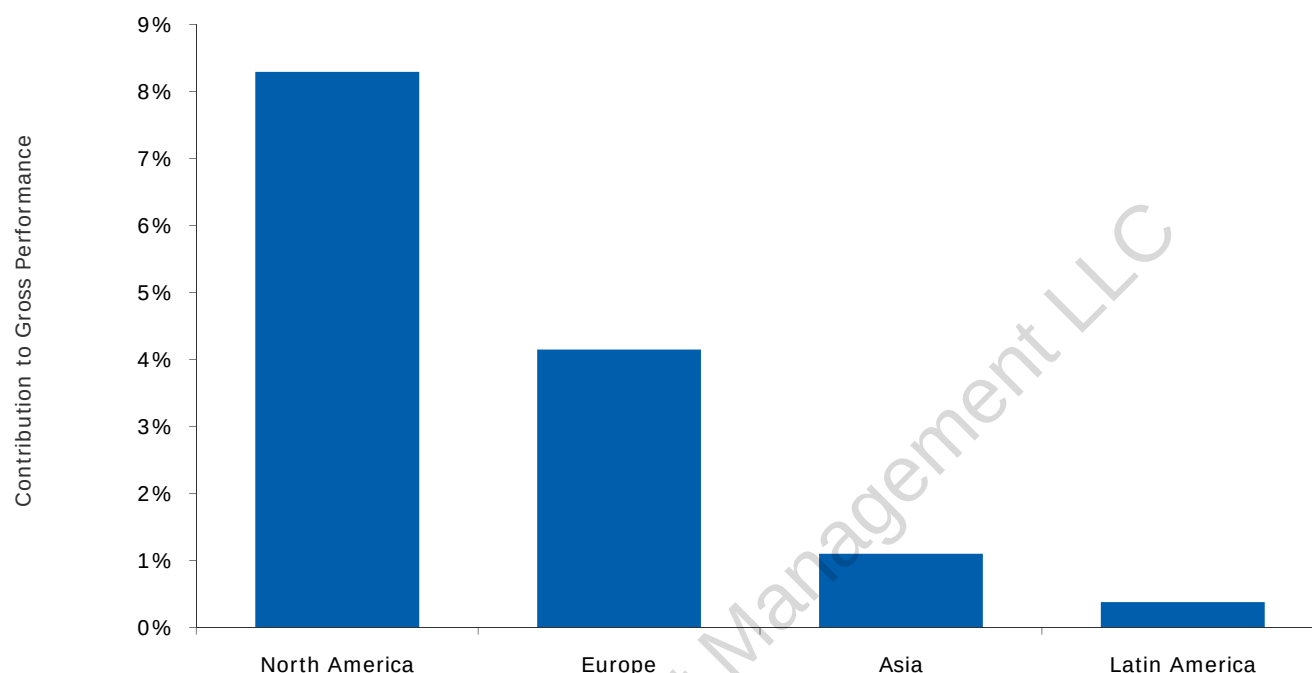
Q3 2010 vs. Q2 2010 Portfolio Geographical Long Exposure



Notes: Figures are re-based to a total of 100 and refer to the long book only, including equity and debt positions.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Q3 2010 Performance Contribution by Geography



Note: Performance contribution figures refer to the entire fund portfolio (including equity and debt positions).
Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Q3 2010 Highest Performance Contributors

Highest Contributors	% Contribution to Q3 2010 Gross Performance
Union Pacific	2.1%
Corporate Debt positions	1.8%
Oracle	1.5%
Viacom	1.1%
Link REIT	0.9%

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Portfolio Review for Q3 2010

Union Pacific

Union Pacific (UP) was up over 17% in the quarter and 28% YTD, making it the largest profit contributor YTD, both on an absolute dollar and return on capital employed (ROCE) basis.

UP remains our largest position at 12.6% at the end of Q3 and its business has continued to perform in-line with our expectations. UP reported strong Q2 results on July 22nd, beating the street's profit expectations by +14%, mainly driven by higher pricing and higher incremental profitability on recovering volumes.

As communicated at our Investor Day conference, the investment thesis is predicated on UP's pricing power, rather than just a volume recovery. UP reported core pricing of +5% yoy during Q2, a solid improvement from the +3.5% yoy reported in Q1. With currently 15-20% excess capacity in the US railroad system, the core pricing levels are a clear indication of UP's inherently

strong pricing power. Increased fuel surcharge revenues and mix further contributed to an increase in revenue per carload of +8% yoy, whilst +18% volume growth helped deliver +27% revenue growth.

The second arm of our UP investment thesis is the high incremental margins. The second quarter incremental margins performed in line with our expectations, significantly exceeding analyst consensus. Reported incremental margins were +60% for the quarter, whilst the street was expecting a number closer to +48%. Sell-side analysts have since moved up their earnings estimates for UP; however we continue to believe the street underestimates the remaining operational re-bounce potential in UP's profitability.

In Q3, we met again with the management teams of the large US and Canadian railroads (including UP), and various other ground transport businesses. Optimism about the current state of US freight industry continues to build within these management teams and most continue to expect a (normal) peak season in shipping activity during the second half of the year.

The messages we are receiving from the transport businesses and various management teams of the large US industrials are consistent. The highly experienced CEO of a large broadly diversified US industrial manufacturer (Illinois Tool Works) told us "this economic recovery has real legs" and "what we're really seeing here is the second stage of a normal recovery", which bodes well for UP, given the 87% long-term correlation between industrial production and US Class-I railroad volumes.

Through our assumed 1-2% long-term volume growth, together with legacy contract re-pricing and +2-3% long-term core pricing, we expect UP to deliver a mid- to high-teens total long-term shareholder return. In our previous investor letters, we mentioned the implied seasonality adjusted FY 2010 run-rate would deliver +11-12% volume growth in 2010 and we continue to believe we will end the year near the high end of that range. We forecast profits per share rising to \$7-8 in 2012, which implies 10-11x P/E on this year, versus a fair multiple and historic average multiple of over 15x in our view.

Visa

Visa was up 5% during the quarter, continuing to underperform the market.

Visa reported another very solid quarter of operational performance, with double-digit growth in nearly all business metrics and contained cost growth, driving modest upgrades to consensus estimates. The business continues to exhibit very strong secular drivers and cyclical resilience. On our current estimates, the business trades at 13.5x forward earnings which, given the diversity of the business and growth drivers, comfortably discounts the risks discussed below. The bottom line of our view is that the business is not going to be materially impacted by the regulatory changes announced and will continue to be a medium and long-term winner in the electronic payments space and grow earnings strongly over the next 5-10 years.

As part of the ongoing due diligence during the summer, one-on-one meetings were held with the CEOs of Visa and Mastercard. At these meetings, it was emphasised that the banks are partners of Visa and Mastercard, whereas companies like Paypal are ultimately competitors seeking to take interchange away from the banks. We believe that prices charged to Paypal for use of the banks' ACH (Automated Clearing House) network will significantly increase in the future, making Paypal an expensive alternative to companies like Visa, that own their own network.

Another important point highlighted was the potential for Visa to reconfigure its pricing structure, to charge more for the highly valuable acceptance network and for payment guarantee functions (for which it holds several billion dollars of excess cash) and less for processing fees, which could become more competitive. Additionally, banks are likely, in our opinion, to move more of their debit business to charge cards, like Amex, which would allow them to continue charging unregulated interchange (which only applies to debit cards, not for longer payment term charge cards).

The key variables that remain a subject of market discussion are the regulatory environment, and particularly the Fed's interpretation of the Durbin amendment, as well as future regulatory risks, in light of the precedents that have been set in the Dodd-Frank Financial Reform Act.

Implementation of the Durbin amendment: The language has left reasonable latitude for interpretation by the Fed in two key areas; the cost definitions that constitute the basis for interchange calculation and the scope of non-exclusivity. The Fed is commonly expected to favour the financial industry in opting for the least disruptive solution, however there will also be strong political and merchant lobbies who will seek the most aggressive interpretation.

Interchange: A common fear is that a draconian cut will lead the banks to turn on Mastercard and Visa and seek steep price concessions commensurate with the revenue hit they face on interchange. The international precedents of very aggressive interchange regulation have however been broadly benign for the networks. The networks have been rational on pricing, the banks have made up the lost revenue through reward cuts and direct consumer fees, and revenue growth has continued unimpaired. The networks are a very low share of system revenue, a high share of system value, and interchange regulation does not increase the banks' bargaining power or options when it comes to network choices.

Non-exclusivity: It appears most likely, but not certain, that the Fed will look to interpret the relevant clause as meaning 'a PIN network and a signature network on one card should not be affiliated'. This is a very benign outcome for the regulation, and would mean the ultimate revenue exposure would be between 3% and 5%, and the potential revenue hit less than 2%.

On 13.5x earnings the stock has the potential to compound strongly over the medium-term.

If non-exclusivity is expanded to apply to PIN and signature in parallel, then the revenue exposure is 20%. The onus will then be on Visa and Mastercard to unbundle pricing to retain economics on components of their contribution to the system that are tough to replicate: breadth of acceptance, fraud performance and payment guarantees. The adjustment will clearly be less smooth than the interpretation of non-exclusivity mentioned above, but the question for the merchants will come down to whether they can switch Visa off or not, and if not, what their membership fee should be.

A broader non-exclusivity interpretation is possible, but as it applies to 20% of the business, and even there where Visa retains strong pricing and cost mitigation levers, we think it is excessively discounted in a 13.5x earnings multiple.

Disney

Disney was up 5% during the quarter.

The company reported an uneventful quarter, however investors remain concerned about the Parks business, even though this is only about 20% of total Disney profits. There are two main concerns in this segment: firstly increased pension liabilities, which we expect the company to partially offset through cost cuts, and secondly slower recovery coming out of the recession, due to the weak US consumer.

We remain confident in the Parks business over time. Historically, in non-recession years, the US parks have 20-24% operating margins; even during recessions margins have been in the 15-16% band. We forecast non-recession margins of 20%, and the recession margins ('10/'11) of 15% and 17% respectively. We continue to like these assets, believing they are unimpaired, unique and should take pricing over a business cycle.

During the quarter ESPN, which remains the biggest driver of Disney's growth, signed a new distribution contract with Time Warner Cable; we estimate this locks in affiliate fee growth of at least 8% per annum over the coming 5 years. ABC is also starting to charge retransmission fees to cable and satellite operators, as part of this ESPN negotiation.

At current prices, Disney is on 15x 2010 CY PE, but on our conservative estimates, the multiple de-rates by 2012 to 12x. We estimate that almost 70% of this growth will be contractual with the

remaining 30% exposed to cyclical factors. An important point in the Disney thesis is that the growth from affiliate fee increases does not end in 2012, but continues strongly medium-term.

Viacom

Viacom B shares were up 18% in Q3, strongly outperforming YTD both Disney and Time Warner.

Viacom's programming portfolio showed ratings strength through the quarter. The turnaround at MTV appears underway, demonstrated by ratings significantly exceeding expectations. This drove strength in cable television advertising markets and management have recently commented that they expect this strength to continue through CY 2010, with Q3 and Q4 each being sequentially stronger than the prior quarter.

Viacom continues to improve monetisation of its content by re-pricing its distribution contracts upwards and signing a lucrative long-term deal with Netflix for distribution of its EPIX movie network. We believe that 25% of the company's contracts will be re-priced upwards over the next 18 months as they expire and continue to believe the company can increase pricing in the high single digits.

We think the company will demonstrate operating leverage, as it eliminates loss-making franchises from its portfolio, such as Rock Band and EPIX; should the economy turn negative, we feel confident that Viacom will reduce its non-programming costs and focus on margin preservation.

We continue to believe that Viacom is undervalued, given its asset mix, cash flow generation and commitment to returning all cash generated to shareholders. We expect the shares to be supported by 1) earnings growth from affiliate fee increases, advertising growth and cost rationalization, and 2) Viacom's recently initiated share buy-back program, which should also trigger upgrades to 2010 and 2011 estimates. Beginning on October 1, we expect \$4bn in share buy-backs and dividends over the next 24 months, versus a current market cap of \$22bn - almost 25% of outstanding B shares (a smaller per cent of the total market cap due to the A shares existence, which are predominantly owned by Sumner Redstone).

Nestlé

Nestlé was flat during Q3 in Swiss Franc terms but, as we did not hedge this position for the Swiss Franc, we gained 10.2% in dollar terms net of our Euro hedge.

Nestlé continued to show organic earnings performance and consistency towards the top end of its peer group. This reflects what we feel is a highly robust geographic, market share and category mix. Nestlé trades on 15x forward earnings. In our opinion, the group has a robust platform to consistently deliver high single-digit operating earnings growth at returns on capital of between 30% and 40%. We think this delivers very solid long-term absolute shareholder returns off a 15x entry multiple, especially accounting for risk vs. the market.

The long-term multiple on this business has been around 17x. While we do not think this fairly reflects intrinsic value given the growth, return, inflation protection and sustainability metrics, we do not have a strong view that this will be exceeded and see the returns from the current level in the 12-13% band.

British American Tobacco

BAT rose 11% in Q3.

During the quarter, we reduced our position in British American Tobacco (BAT) on the basis that the potential introduction of plain packaging in Australia and follow-on introduction by other countries could negatively impact global tobacco businesses in the long-term. Australia's current labour health minister Roxen seems committed to introduce plain packaging by mid-2012; however our work suggests she will face numerous political and legal obstacles. We therefore think that the probability of large scale adoption of plain packaging in the medium-term is limited. We still strongly believe in the economics of the tobacco businesses, but we have reduced our exposure to

the sector to 6% of NAV (including Japan Tobacco) due to the cloud in perception that this issue could create.

BAT continued to prove the pricing power of the industry when they reported H1 results on July 28th. BAT reported organic volumes down -3%, but the +7.5% pricing increase more than compensated for the profitability shortfall from volume losses, resulting in +8% underlying profit growth. After a meeting with BAT during the quarter we believe that a share-buyback program could be introduced as early as 2011 and a second cost cutting program to drive higher margins starting in 2012.

In our opinion, BAT will continue to produce high single-digit EPS growth over the next few years, which combined with an 8% levered FCF yield results in mid-to-high teens shareholder returns over the next 2-3 years, excluding any multiple re-rating.

Link REIT

Link REIT had a strong quarter and was up 19% driven by a sharp drop in government bond yields and strong retail sales in Hong Kong.

At the start of Q3, Link REIT was yielding 5.7% on March 2011 projected dividends vs. the 10-year local treasuries at 2.3%; at the end of Q3, it dropped to 4.8% and 2% respectively. In other words, the delta between dividend yield and 10-year Hong Kong treasuries contracted by 60bps, but is still very healthy at 2.8%.

During the quarter, the daily correlation between the S&P 500 and Link REIT turned from neutral to negative, as the stock benefitted from expectations that interest rates would stay lower for longer and a global search for yield. Retail sales in Hong Kong were very strong, up close to 20% yoy, due to a recovery in consumer confidence, as well as increase in Mainland Chinese visitors who are taking advantage of lower taxes in Hong Kong. If retail sales continue to grow at the current pace, we see upside risk to our earnings forecasts as well as consensus. Our recent conversations with the CEO support our confidence that they will maintain a positive spread between revenue growth of over 5%, and cost growth of more like inflation (2-3%) in the medium-term.

Lloyds

Our position in Lloyds contingent capital bonds was up 17%, including interest payments during the quarter.

First half-year results to 30 June 2010 were better than expected. New mortgages continue to be written with much higher net interest margin (NIM) than the back book of mortgages. As a reminder, UK mortgages are around half of the loan book. Lloyds' funding situation improved modestly, with the loan-to-deposit ratio enhanced by 4% (deposits grew and total loans came off marginally). Core tier 1 improved to 9%, from 8% at the end of 2009.

During September, new Basel 3 proposals for bank capital were announced, making our contingent capital bonds safer and also increasing the likelihood that they will be called by Lloyds bank during or post 2013. Basel 3 proposals would lower Lloyds' pension fund assets, deferred tax assets and subsidiary assets reduction to core tier 1 capital and we estimate that pro-forma core tier 1 would drop by 1.3% to 7.7%. It is important to note that the Lloyds contingent capital bonds that we own have a 5% core tier 1 trigger, measured using the FSA definitions at the time they were issued. One of the impacts of Basel 3 proposals is to make tighter capital definitions, which impacts the amount of capital to be held; both will contribute to make our bonds safer and materially reduce the chance of equitisation.

Another critical element of the proposals was the definition of eligible capital for Tier 1 and Tier 2 (Lloyds contingent capital bonds are Tier 2, because they are dated, i.e. fixed maturity of 2019 and have "must pay" coupons, in our case of 15%). The new definitions on eligibility are not yet finalized, but almost certainly are not going to allow triggers for equitisation based on a tier 1 level. More likely, this will be based on the regulators' discretion. One reason for this, as we

understand from talking to the UK regulator, is that a bank can have an adequate tier 1 but still go bankrupt due to liquidity reasons, as occurred to Bradford and Bingley in the UK.

The Lloyds bonds we hold are callable if they no longer meet regulatory capital requirements. The call price is not par, but a 'make whole' number, calculated by discounting the cash flows at the 2019 benchmark gilt +5%. This would give a price today of around 140% of par, using a discount rate of 8%, as opposed to the 130 price they were trading at recently. At 130 the IRR to a 2013 call (the earliest proposed date for implementation of the new rules) would be circa 14%, whilst the yield to maturity is 10%. We believe that Lloyds will find saving the cost of 15% "must pay" coupons for another 6 years irresistible, given that this capital will almost certainly not be eligible under the new rules and so might as well be replaced with senior debt costing 3%. We have therefore decided to increase the position to 11% of NAV.

ING Groep NV

ING was added to the portfolio during the quarter, despite the lack of visibility on the economic recovery in Europe and the US. The stock rose 23% during the quarter, although we captured only around half of this move.

ING is a global financial institution of Dutch origin, currently offering banking, investments, life insurance and retirement services. During the financial crisis, it received €5bn of capital from the Dutch government. As a result, it was required by the EU to sell off its insurance operations by 2013 and become a pure European retail and commercial bank. ING is the #1 retail bank in The Netherlands and #1 commercial bank in the Benelux, with a strong direct banking presence in Western Europe and North America through its ING Direct subsidiary, a valuable growing asset.

ING is in the process of operationally separating its insurance businesses and prepare it for a spin-off, which is expected to materialize during 2011.

ING has the potential to double in the next 2 years, based on our sum of the parts. We expect the insurance business to be sold for around its book value (€16bn) and the proceeds used to increase capital and repay in full the Dutch government. We expect the pro-forma core tier 1 ratio to reach 13%, assuming the sale of the insurance business by the end of 2012. ING's current core tier 1 target is 7.5%, which is above the Basel 3 minimum, and this rises to 9-10% pro-forma end 2010 for a sale of the insurance business at book. We do not yet know what premiums, if any, above the Basel 3 floor of 7% the Dutch regulators will require, but we expect it will be in the range of 10-13%.

The bank currently trades at a discount of around 15% to its book value and 5.5 P/E on our 2012 earnings estimate. Its US insurance business will have a book value uplift when it restates its earnings for US GAAP versus IFRS of up to 20%. Our assumption is that the insurance business will be floated in two separate companies, a US and a non-US. The latter is a mixture of Benelux, Brazil and Korea. Overall we expect it to be valued at a premium to book value.

Despite the bank's relatively high exposure to residential mortgages (50% of total loans), we feel reasonably comfortable that ING's provisions are sufficient. Dutch mortgages account for half their mortgage book, which has a very low loss severity (only 2%) with an average 70-80% loan-to-value and all recourse mortgages; hence, we see limited downside risk. Exposure to Portuguese, Greek, Spanish and Irish government debt is only €3bn out of capital of €30bn. In the last 10 years, ING managed to improve its funding mix and increased its cheap deposits from 30% to 45% in June 2010. ING has a clear focus on efficiency and managed to reduce its cost income ratio by 4% in the last 12 months.

We have met the new management several times. Jan Hommen, the CEO, was the former CFO of Philips, where our analyst Oscar Veldhuijzen used to work for him. We do not believe that Jan Hommen is interested in building an empire and he indicates his expectation in meetings; once the insurance business is separated and the capital position normalized, they expect to pay a significant dividend. We estimate they will pay a €1 dividend on EPS in 2013 of over €1.40, giving a 12-13% dividend yield on the current share price.

Japan Tobacco

Japan Tobacco (JT) was up 6% in USD terms during the quarter, but flat in Yen terms, despite uncertainties related to the introduction of sharply higher retail prices.

As of 1st October 2010, their Japanese cigarette prices were raised by almost 40% at the retail level producing a 35% increase in net prices for JT. We believe that volume sensitivity to higher cigarette prices is far lower than guidance and consensus, which should provide a boost to the stock when this becomes visible to the market.

JT's forward P/E is 9x and it is trading on 8x forward EV/EBIT, which is close to 30% discount to the sector. By 2012 we think the stock trades at a 12% close to unlevered free cash yield. Our intrinsic value remains at a significant premium (50-100%) to the current stock price, but the strong Yen, low dividend yield and poor Japanese stock market offer little current support to the stock.

Oracle

Oracle shares rose 23% during Q3 2010.

During the stock weakness of the summer, we had increased the position to 8% of NAV at prices of \$21-22. As a result of the large size of the position and strong performance, it was a top 3 contributor to the Q3 Fund's performance. After the stock rose above \$27, we significantly reduced the position - even though we still see intrinsic value above \$30 - due to a less compelling risk/reward.

Shares re-rated from 11x to 13.5x 2011 P/E, after Oracle delivered another set of strong quarterly results and Mark Hurd joined the company as co-President. He had, until recently, been the CEO of Hewlett Packard and has an excellent track record as an executive at both NCR and Hewlett Packard.

Oracle showed outstanding business execution during the third quarter. The company reported strong results for its fiscal first quarter in September. Oracle reported clean non-GAAP EPS of \$0.42, versus expectations of \$0.37 driven by strength across all business lines, with new license sales growing 25%. Sales and operating margins beat our expectations, as well as the hardware business. Management indicated there will be structurally higher margins going forward and expressed the view that they could double profits from hardware in the medium-term.

We expect the business fundamentals to remain strong, driven by an increase in IT spend globally and the launch of several new integrated hardware and software products. Oracle has shown itself to be a disciplined acquirer in the past, however we are concerned by comments regarding potential acquisitions in the non-software area and other areas we consider non-core.

We are also concerned about the company's growing offshore cash balance, where we see no clear goal of repatriation. Nonetheless, we would hope to have an opportunity to increase the position again at lower prices.

Molson Coors

Molson Coors rose 11.5% in Q3 2010.

Molson Coors continued to deliver robustly against its synergy and cost rationalisation goals in the second quarter, both in the US and Canada. As in the prior quarter, the headline benefits of these operational improvements and continued rational pricing have been obscured by a very weak volume environment, and related fixed cost deleverage. In the coming two quarters, we expect the volume environment to stabilise at the very least if not to improve, generating a marked positive benefit on headline performance.

Early trade data for Q3, and the exit run-rate from Q2, indicate that we are seeing better volumes. The unemployment rate appears for the time being stabilized, albeit at a higher level.

The core demographic of beer drinkers is young males up to around 40yrs old, a subset of the population who suffered over-proportionally from the recession. Beer volumes tend to follow changes in unemployment, with a one to two quarter lag. The weak volumes of the past quarters have reflected, in our view, the sharp increase in the number of unemployed young men that we saw in the second half of 2009. While it is not clear whether these drinkers are coming back, in our opinion the volume base has reset to a level more commensurate with the current unemployment environment. Given the natural leverage in the business, resetting even to flat volumes should result in a marked improvement in earnings growth from cost and pricing initiatives.

If you assume no improvement in volumes, no real pricing and a US margin of around 19% (ABI, the major peer, has 35%), we expect \$5 of cash earnings in 2012, putting the stock around 9x. Over 18 months, with a 13x exit multiple and a 2% dividend yield, this gives a compounding rate of around 20%. Given the oligopolistic market structure and the pricing umbrella forged by the market leader, we see solid optionality for incremental margin, pricing and volume, which will drive higher returns. ABI has already announced significant price increases this autumn in the US, which going forward we expect to become a structural feature of the US beer market.

Three members of our team, including myself, made a trip to Denver during the summer for a meeting the CEO and CFO. On the positive side, the cost cutting was proceeding as expected in the US and there were material market share gains in Canada, where they have a duopoly with Anheuser Busch Inbev. On the negative side, management clearly wants to deleverage the business over the next two years to a low level (of below x1 debt to EBIT) and we do not expect much cash return beyond the dividend during this period. Furthermore, on the positive side, they do not seem to have the appetite to make any significant acquisitions. Management commented the stock was cheap; we challenged them to purchase more shares themselves. The next week the CFO increased his holdings, which was his second purchase of the year.

Lockheed Martin

Lockheed Martin fell by 4% during the quarter, a disappointing performance given the strength in the market.

Q2 results were slightly better than expectations and full year guidance was raised on a better outlook for the space division. Additionally, the decision to sell two small services businesses showed good management discipline.

The flight test program for the F-35 is, overall, ahead of schedule, as testing on the naval and air force versions of the plane is going very well, but the STOVL version (the one used by the Marines) is having problems with the reliability of multiple small components and the testing of this version is behind schedule. The F-35 STOVL was expected to go into service in 2012, however this date looks challenging now and a delay is likely. So far though, the testing program has not discovered any serious or fundamental flaws in the design of the aircraft.

We expected a decision on the littoral combat ship in Q3, but this has been delayed until the end of the year as has the UAE THAAD contract. Generally, we are seeing delays in procurement programs across the defence industry at the moment.

While Lockheed has an exceptional line-up of programs, in particular the F-35, we are concerned by some of the recent checks we have done in Washington and contract delays. It is clear that there will be increasing pressure on the sector on price and margin, as the US government seeks to cut its massive deficit. More movement to fixed price post the development stage is likely, increasing risk if not margins. We also expect some pension-related downgrades in earnings estimates, which will have little impact on our intrinsic valuation, but which could cause some further stock weakness. As a result, we have cut the Lockheed position to 3% of NAV and have initiated shorts in the sector to neutralise our exposure to the defence budget.

We are short stocks such as a defence company making 44% operating profit margins in the US versus Lockheed's 8% domestic margin. We view such margins as unsustainable in the medium-

term. Moreover, this company has been a huge beneficiary of the Iraq and Afghanistan war spending, much of which will not recur.

WellPoint

WellPoint had a good third quarter, appreciating by 16%.

Q2 numbers were 7% ahead of expectations, as trading for WellPoint and the other managed care companies continues to be strong, driven by lower than expected medical utilisation and a reduction in the number of members on COBRA. These tailwinds will continue for the rest of the year and numbers for the whole sector are currently 5-10% too low in our estimates.

Generally though, the group has moved more on medical reform news than on trading and Q2 was no different. The National Association of Insurance Commissioners (NAIC) was tasked by the reform act to decide the rules on minimum Medical Loss Ratios (MLR) and spent Q3 developing the rules in a transparent manner. As we expected, the NAIC wants to avoid the significant market disruption which would result from multiple smaller and medium sized plans going bankrupt, so the rules have been favourable to the industry.

The group has also been helped by the expectation of Republican gains at the mid-term elections. Although the GOP has promised to repeal healthcare reform, in practice this is highly unlikely. WellPoint may be able to moderate some of its effects through holding Congressional hearings and cutting funding for certain measures, in general this would be good for the managed care industry.

In a post-reform world, scale (particularly local scale) and brand will matter more than ever. WellPoint has the most scale in the states where it operates and the best brand. On just 8x 2011 earnings, the company is very good value and continues to return all excess cash to shareholders.

Red Electrica and Enagas

Red Electrica and Enagas shares have been strong in Q3, up around 20%, as perceptions of Spanish sovereign risk and regulatory risk receded.

Both companies are highly regulated, with low business and operating risk, are strategically important and have extensive capex programs, generating fair rates of return. While the review of electricity system costs has not yet concluded, we continue to believe that the Spanish government is unlikely to target a material change to Red Electrica's remuneration model. From statements made to date, it appears that the energy ministry is continuing to focus on reducing excessive returns in PV solar and seeking to offer generators nuclear life extensions, in exchange for upfront payments.

On 2011 forecasts, Red Electrica and Enagas are trading at a highly attractive 10x P/E with a sector leading 10-15% 3-year EPS CAGR and 6% dividend yields on 2011 estimates. We still see in excess of 40% upside to fair value for both companies.

CESP

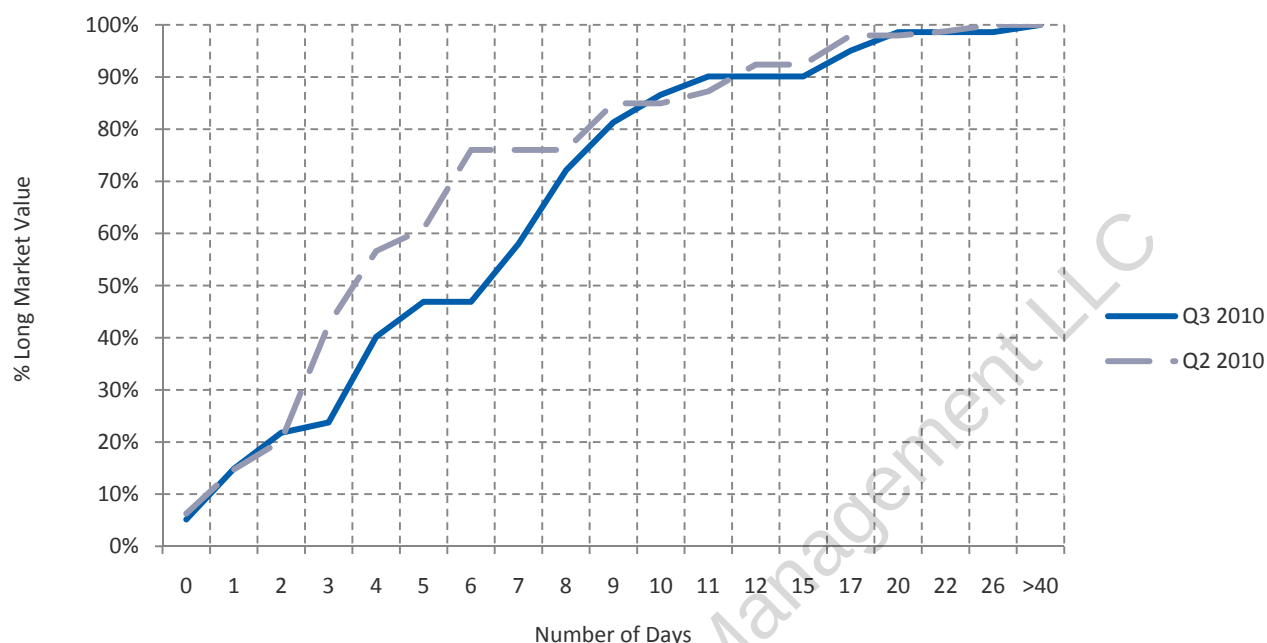
Cia Energetica De Sao Paulo (CESP) is the second largest hydro electric generation business in Brazil and is controlled by Sao Paulo State.

CESP revenues are a mixture of open market sales and concessions, 50% of which expire in 2015. We expect these concessions to be renewed after the conclusion of the Federal elections on 31st October (now in the run-off phase). The pro business PSDB Party was successful in retaining power in the Sao Paulo State election on 3rd October. We expect Governor Geraldo Alckmin to remain supportive of the potential privatization of CESP once the concessions have been renewed.

The positive election result has helped CESP shares increase by 12% from the end of Q2.

Despite this performance, we still see a very attractive long-term real IRR of 16% and upside of 30% to fair value (excluding any further potential upside from privatisation).

Liquidity Analysis



Notes: Liquidity is based on the average three-month trading volume data from Bloomberg assuming 100% of trading. Analysis is based upon long equity and equity swap positions only.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Outlook

Whilst the economies have troughed in the West, the recovery has been extremely weak. The contrast with the strong growth in Asia ex-Japan and Brazil is marked showing that decoupling of emerging markets is real this time around for now.

The situation in the West is summarised by the statement "crisis averted for the moment, but problem not solved". There remains too much debt and not enough saving in the system, with total government and private debt in aggregate running almost at peak levels as aggregate demand has been supported by the great swap of increased government debt for reduced private sector debt as consumers deleverage.

Nominal income recovery in the US and final sales (taking out the temporary benefit of restocking) remains very low. The contrast between large corporates and individuals in the US is stark. US corporates are generating very large amounts of free cash flow relative to GDP (record amounts) and to equity, whilst consumers struggle with their debt levels and fear of unemployment and further house price declines. Is this situation sustainable long term, of companies doing well and consumer doing poorly? One important thing to always bear in mind is that the US consumer spending is a small direct proportion of the US stock market earnings and that even in a flat GDP world some companies will have secular tailwinds and market share gains. Our US equity exposure remains dominated by stocks with secular growth drivers or cost cutting drivers.

Investor Relations

Q3 2010 Investor Conference Call

The Q3 investor conference call will take place Tuesday, 19th October at 16:00 British Summer Time. Investors wishing to attend the call are kindly asked to register using the invitations that have already been distributed.

Investors who wish to submit questions are kindly asked to do so in advance by Monday 18th October to the following email address:

✉ irteam@cliffordstreet.com

Hedge Funds Standard Board ('HFSB')

As of September 2010, The Children's Investment Fund Management (UK) LLP confirmed that it is in conformity with the Hedge Funds Standard Board ('HFSB'), an organisation set up to promote best practice in the Alternatives industry. For more information, please refer to www.hfsb.org.

TCI Affiliated Investment Managers

Algebris

Algebris currently manages circa \$1.5bn and is open to new investments in both their long only and long/short funds. For any information on Algebris, please contact Jordan Cook (jordan@algebris.com).

KDA

KDA Capital currently manages approximately \$300m and is open to new investments. For any information on KDA, please contact either Jolanda Niccolini or Thomas Roberts (jolanda@cliffordstreet.com or thomas@cliffordstreet.com).

Parvus

Parvus currently manages circa \$2.2bn and is selectively open to new investments. For any information on Parvus, please contact Rahul Moodgal (rahul@parvusfunds.com).

Christopher Cooper-Hohn

Managing Partner
October 2010

Appendix 1 – The Children's Investment Fund Performance Since Inception

Period	Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class B (5yr) \$	Class B (5yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (\$)
Jan 2004	375	+1.36%	+1.44%	+1.41%	+1.49%			+1.54%
Feb 2004	532	+5.08%	+5.09%	+5.26%	+5.27%			+1.55%
Mar 2004	554	+2.75%	+2.93%	+2.78%	+2.97%			-0.89%
Q1 2004		+9.44%	+9.73%	+9.71%	+10.01%			+2.20%
Apr 2004	735	+3.70%	+3.88%	+3.77%	+3.92%			-2.22%
May 2004	872	+0.40%	+0.45%	+0.43%	+0.47%			+0.67%
Jun 2004	1,081	+2.82%	+2.86%	+2.90%	+2.93%			+1.91%
Q2 2004		+7.05%	+7.33%	+7.23%	+7.47%			+0.32%
Jul 2004	1,088	-0.24%	-0.20%	-0.24%	-0.20%			-3.34%
Aug 2004	1,114	+0.85%	+0.94%	+0.88%	+0.97%			+0.26%
Sep 2004	1,173	+4.86%	+4.90%	+5.00%	+5.05%			+1.77%
Q3 2004		+5.50%	+5.67%	+5.67%	+5.86%			-1.38%
Oct 2004	1,187	+2.35%	+2.34%	+2.41%	+2.41%			+2.37%
Nov 2004	1,435	+4.93%	+5.09%	+5.31%	+5.24%			+5.09%
Dec 2004	1,589	+6.94%	+6.86%	+7.13%	+7.05%			+3.73%
Q4 2004		+14.85%	+14.93%	+15.54%	+15.37%			+11.59%
2004		+41.95%	+43.04%	+43.65%	+44.39%			+12.84%
Jan 2005	1,960	+6.45%	+6.51%	+6.68%	+6.75%			-2.31%
Feb 2005	2,265	+3.80%	+3.83%	+3.90%	+3.99%			+3.01%
Mar 2005	2,275	-1.07%	-1.04%	-1.07%	-1.09%			-2.17%
Q1 2005		+9.32%	+9.44%	+9.65%	+9.80%			-1.55%
Apr 2005	2,502	-0.02%	-0.05%	-0.02%	-0.05%			-2.39%
May 2005	2,856	+3.46%	+3.46%	+3.59%	+3.59%			+1.52%
Jun 2005	3,271	+6.15%	+6.15%	+6.35%	+6.34%			+0.71%
Q2 2005		+9.80%	+9.77%	+10.14%	+10.10%			-0.21%
Jul 2005	3,624	+4.47%	+4.41%	+4.61%	+4.54%			+3.43%
Aug 2005	3,754	+2.03%	+1.88%	+2.08%	+1.94%			+0.56%
Sep 2005	4,055	+7.11%	+7.03%	+7.31%	+7.23%			+2.47%
Q3 2005		+14.17%	+13.86%	+14.59%	+14.27%			+6.57%
Oct 2005	4,050	-3.68%	-3.80%	-3.77%	-3.90%			-2.49%
Nov 2005	4,605	+5.06%	+5.06%	+5.20%	+5.19%			+3.14%
Dec 2005	5,421	+7.92%	+7.72%	+8.12%	+7.91%			+2.14%
Q4 2005		+9.21%	+8.86%	+9.45%	+9.08%			+2.73%
2005		+49.66%	+48.90%	+51.48%	+50.68%			+7.56%
Jan 2006	5,782	+6.38%	+6.10%	+6.61%	+6.32%			+4.41%
Feb 2006	6,012	+3.97%	+4.15%	+4.12%	+4.05%			-0.29%
Mar 2006	6,809	+3.72%	+3.27%	+3.84%	+3.63%	+3.65%	+3.44%	+1.96%
Q1 2006		+14.71%	+14.11%	+15.26%	+14.64%	+3.65%	+3.44%	+6.14%
Apr 2006	7,183	+5.91%	+5.64%	+6.10%	+5.82%	+5.80%	+5.54%	+2.87%
May 2006	6,225	-9.18%	-9.11%	-9.64%	-9.39%	-9.56%	-9.57%	-3.72%
Jun 2006	6,767	+3.38%	+3.27%	+3.71%	+3.39%	+3.96%	+3.93%	-0.18%
Q2 2006		-0.56%	-0.84%	-0.57%	-0.87%	-0.53%	-0.81%	-1.13%
Jul 2006	7,495	+3.75%	+3.61%	+3.87%	+3.72%	+3.68%	+3.54%	+0.55%
Aug 2006	7,828	+3.71%	+3.50%	+3.83%	+3.60%	+3.37%	+3.43%	+2.38%
Sep 2006	7,843	+0.03%	-0.12%	+0.03%	-0.12%	+0.00%	-0.12%	+1.07%
Q3 2006		+7.63%	+7.11%	+7.88%	+7.32%	+7.17%	+6.96%	+4.05%
Oct 2006	8,307	+4.01%	+3.88%	+4.13%	+3.99%	+3.72%	+3.29%	+3.61%
Nov 2006	8,615	+3.04%	+2.93%	+3.13%	+3.01%	+2.99%	+2.88%	+2.27%
Dec 2006	8,945	+5.63%	+5.53%	+5.78%	+5.69%	+5.54%	+5.44%	+1.95%
Q4 2006		+13.21%	+12.84%	+13.60%	+13.22%	+12.74%	+12.05%	+8.02%
2006		+38.99%	+36.76%	+40.45%	+38.08%	+24.57%	+22.97%	+17.95%

Period	Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class B (5yr) \$	Class B (5yr) €	Class C (5yr) \$	Class C (5yr) €	Class D (Q) \$	Class D (Q) €	MSCI World (\$)
Jan 2007	9,460	+2.05%	+1.99%	+2.12%	+2.05%	+2.05%	+1.99%			+1.12%
Feb 2007	9,474	-1.25%	-1.27%	-1.29%	-1.31%	-1.25%	-1.27%			-0.65%
Mar 2007	10,145	+6.78%	+6.63%	+7.02%	+6.86%	+6.78%	+6.63%			+1.59%
Q1 2007		+7.61%	+7.37%	+7.88%	+7.62%	+7.61%	+7.37%			+2.06%
Apr 2007	10,762	+4.99%	+4.81%	+5.17%	+4.98%	+4.99%	+4.81%			+4.21%
May 2007	11,151	+4.38%	+4.30%	+4.52%	+4.46%	+4.38%	+4.30%			+2.47%
Jun 2007	10,971	-2.34%	-2.43%	-2.41%	-2.51%	-2.34%	-2.43%			-0.90%
Q2 2007		+7.02%	+6.67%	+7.27%	+6.91%	+7.02%	+6.67%			+5.82%
Jul 2007	11,056	+0.98%	+0.86%	+1.02%	+0.89%	+0.98%	+0.86%			-2.28%
Aug 2007	10,123	-5.97%	-6.14%	-6.16%	-6.35%	-5.97%	-6.14%			-0.27%
Sep 2007	11,308	+9.24%	+8.85%	+9.56%	+9.16%	+9.24%	+8.85%			+4.61%
Q3 2007		+3.73%	+3.04%	+3.86%	+3.13%	+3.73%	+3.04%			+1.95%
Oct 2007	12,048	+8.13%	+8.03%	+8.37%	+8.31%	+8.13%	+8.03%			+2.99%
Nov 2007	12,263	+3.62%	+3.55%	+3.72%	+3.67%	+3.62%	+3.55%			-4.24%
Dec 2007	12,643	+2.79%	+2.76%	+2.86%	+2.86%	+2.79%	+2.76%			-1.37%
Q4 2007		+15.17%	+14.95%	+15.62%	+15.50%	+15.17%	+14.95%			-2.74%
2007		+37.59%	+35.66%	+38.97%	+37.04%	+37.59%	+35.66%			+7.09%
Jan 2008	11,239	-6.24%	-6.38%	-6.24%	-6.60%	-6.24%	-6.38%			-7.71%
Feb 2008	10,714	-2.70%	-2.56%	-2.70%	-2.65%	-2.70%	-2.56%			-0.74%
Mar 2008	10,187	-1.05%	-0.83%	-1.05%	-0.86%	-1.05%	-0.83%			-1.25%
Q1 2008		-9.73%	-9.54%	-9.73%	-9.86%	-9.73%	-9.54%			-9.53%
Apr 2008	12,073	+8.37%	+8.61%	+8.37%	+8.91%	+8.37%	+8.61%			+4.98%
May 2008	12,709	+3.30%	+3.38%	+3.30%	+3.50%	+3.30%	+3.38%			+1.11%
Jun 2008	10,922	-12.96%	-12.68%	-12.96%	-13.12%	-12.96%	-12.68%			-8.10%
Q2 2008		-2.56%	-1.96%	-2.56%	-2.07%	-2.56%	-1.96%			-2.45%
Jul 2008	11,233	+1.81%	+2.02%	+1.81%	+2.09%	+1.81%	+2.02%			-2.53%
Aug 2008	11,639	-2.60%	-2.46%	-2.60%	-2.54%	-2.60%	-2.46%			-1.60%
Sep 2008	10,257	-14.88%	-15.08%	-14.88%	-15.61%	-14.88%	-15.08%			-12.08%
Q3 2008		-15.59%	-15.49%	-15.59%	-16.04%	-15.59%	-15.49%			-15.67%
Oct 2008	9,763	-13.39%	-14.41%	-13.39%	-14.91%	-13.39%	-14.41%			-19.04%
Nov 2008	8,685	-9.67%	-9.78%	-9.67%	-10.12%	-9.67%	-9.78%			-6.72%
Dec 2008	7,093	-2.06%	-2.16%	-2.06%	-2.24%	-2.06%	-2.16%			3.06%
Q4 2008		-23.38%	-24.45%	-23.38%	-25.24%	-23.38%	-24.45%			-22.18%
2008		-43.11%	-43.37%	-43.11%	-44.59%	-43.11%	-43.37%			-42.08%
Jan 2009	7,422	-4.51%	-4.80%	-4.51%	-4.97%	-4.51%	-4.80%			-8.85%
Feb 2009	7,371	+0.53%	+0.56%	+0.53%	+0.57%	+0.53%	+0.56%			-10.49%
Mar 2009	6,855	-1.40%	-1.68%	-1.40%	-1.73%	-1.40%	-1.68%			7.23%
Q1 2009		-5.35%	-5.88%	-5.35%	-6.08%	-5.35%	-5.88%			-12.50%
Apr 2009	6,101	-2.08%	-2.10%	-2.08%	-2.17%	-2.08%	-2.10%			+10.90%
May 2009	5,710	+0.26%	+0.26%	+0.26%	+0.27%	+0.26%	+0.26%			+8.62%
Jun 2009	5,668	+0.39%	+0.42%	+0.39%	+0.43%	+0.39%	+0.42%			-0.61%
Q2 2009		-1.44%	-1.43%	-1.44%	-1.48%	-1.44%	-1.43%			+19.73%
Jul 2009	5,571	+4.10%	+4.09%	+4.10%	+4.23%	+4.10%	+4.09%			+8.37%
Aug 2009	4,814	+1.53%	+1.51%	+1.53%	+1.56%	+1.53%	+1.51%	+1.53%	+1.52%	+3.91%
Sep 2009	4,797	+2.30%	+2.25%	+2.30%	+2.33%	+2.30%	+2.25%	+2.34%	+2.25%	+3.81%
Q3 2009		+8.12%	+8.03%	+8.12%	+8.32%	+8.12%	+8.03%	+3.91%	+3.80%	+16.90%
Oct 2009	4,750	+0.75%	+0.72%	+0.75%	+0.74%	+0.75%	+0.72%	+0.75%	+0.70%	-1.85%
Nov 2009	4,794	+3.30%	+3.27%	+3.30%	+3.39%	+3.30%	+3.27%	+3.34%	+3.27%	+3.87%
Dec 2009	5,225	+4.93%	+5.08%	+4.93%	+5.26%	+4.93%	+5.08%	+4.94%	+5.08%	+1.69%
Q4 2009		+9.21%	+9.30%	+9.21%	+9.64%	+9.21%	+9.30%	+9.26%	+9.28%	+3.68%
2009		+10.16%	+9.55%	+10.16%	+9.88%	+10.16%	+9.55%	+13.53%	+13.44%	+26.98%
Jan 2010	4,920	-2.84%	-2.89%	-2.84%	-2.99%	-2.84%	-2.89%	-2.84%	-2.89%	-4.19%
Feb 2010	5,030	+2.51%	+2.54%	+2.50%	+2.63%	+2.50%	+2.54%	+2.50%	+2.54%	+1.23%

Period	Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class B (5yr) \$	Class B (5yr) €	Class C (5yr) \$	Class C (5yr) €	Class D (Q) \$	Class D (Q) €	MSCI World (\$)
Mar 2010	5,323	+5.23%	+5.24%	+5.23%	+5.42%	+5.23%	+5.24%	+5.23%	+5.24%	+5.93%
Q1 2010		+4.80%	+4.80%	+4.80%	+4.96%	+4.80%	+4.80%	+4.80%	+4.80%	+2.74%
Apr 2010	5,263	-2.23%	-2.27%	-2.23%	-2.35%	-2.23%	-2.27%	-2.23%	-2.27%	-0.16%
May 2010	4,997	-9.41%	-9.99%	-9.41%	-10.34%	-9.41%	-9.99%	-9.41%	-9.99%	-9.91%
Jun 2010	4,699	-2.45%	-2.54%	-2.45%	-2.63%	-2.45%	-2.54%	-2.45%	-2.54%	-3.56%
Q2 2010		-13.61%	-14.27%	-13.61%	-14.75%	-13.61%	-14.27%	-13.61%	-14.27%	-13.26%
Jul 2010	4,695	+7.58%	+7.58%	+7.58%	+7.85%	+7.58%	+7.58%	+7.58%	+7.58%	+8.02%
Aug 2010	4,753	-2.42%	-2.56%	-2.42%	-2.65%	-2.56%	-2.42%	-2.56%	-2.42%	-3.92%
Sep 2010	4,758	+8.19%	+8.04%	+8.19%	+8.33%	+8.19%	+8.04%	+8.19%	+8.04%	+9.11%
Q3 2010		+13.58%	+13.26%	+13.58%	+13.73%	+13.58%	+13.26%	+13.58%	+13.26%	+13.24%
2010 YTD		+2.84%	+1.75%	+2.84%	+1.76%	+2.84%	+1.75%	+2.84%	+1.75%	-0.92%
Ann.		+15.32%	+14.50%	+16.08%	+14.89%	n/a	n/a	n/a	n/a	+1.93%
Inception		+161.80%	+149.36%	+173.67%	+155.15%	n/a	n/a	n/a	n/a	+13.79%

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception.

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP